

The Boardwalk

South Fort Myers, FL

338-unit multifamily community. Quarterly performance review for the period ending Jun 30, 2026.

338

UNITS

1973

VINTAGE

Jul '25

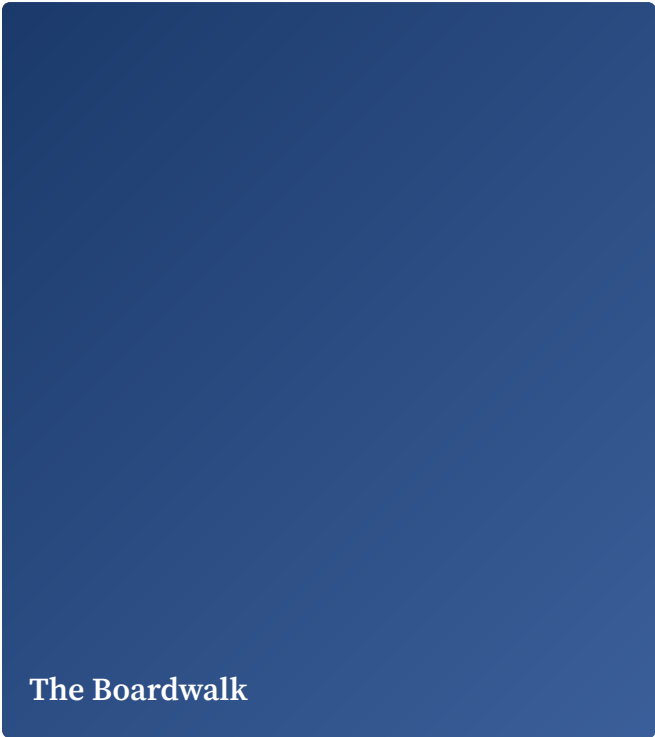
ACQUIRED

\$48M

PURCHASE PRICE

PREPARED BY
ZMR Capital
Period ending Jun 30, 2026

Property Description



The Boardwalk is a 338-unit, garden-style workforce housing community in South Fort Myers, Florida, about 30 minutes from downtown Fort Myers and 15 minutes from RSW International Airport. Built in 1973 across 18 two-story residential buildings on 19 acres, with a clubhouse, pool, fitness center and outdoor amenity area. Acquired July 2025.

ADDRESS	SUBMARKET	MSA	YEAR BUILT
4637 Deleon Street South Fort Myers, FL 33967	South Fort Myers	Cape Coral-Fort Myers	1973
BUILDING CLASS	SITE / DENSITY	ACQUIRED	AVG UNIT SIZE
B / C workforce	19.0 ac · 17.8 u/ac	Jul 30, 2025	841 sf
2Q26 AVG IN-PLACE RENT	PRIOR QTR (1Q26)	QQQ VARIANCE	
\$1,324 / mo	\$1,346 / mo	-\$22 / -1.7%	
vs. -\$118 / -8.1% (4Q25 to 1Q26)			

Type	Units	Avg SF	1Q26 in-place rent	2Q26 in-place rent	QoQ variance
Studio · 1 BA	43	527	\$1,089	\$1,074	-\$15 / -1.4%
1 BR · 1 BA	79	678	\$1,205	\$1,184	-\$20 / -1.7%
2 BR · 1-2 BA	137	885	\$1,341	\$1,322	-\$19 / -1.4%
3 BR · 2 BA	79	1,099	\$1,662	\$1,620	-\$41 / -2.5%
Total / Weighted	338	841	\$1,346	\$1,324	-\$22 / -1.7%

In-place rents declined across all floor plans in 2Q26. Studios fell \$15 to \$1,074 (down 1.4%), one-bedrooms fell \$20 to \$1,184 (down 1.7%), and two-bedrooms fell \$19 to \$1,322 (down 1.4%). Three-bedrooms declined most, down \$41 to \$1,620 (down 2.5%). The weighted average across 338 units fell \$22 to \$1,324, a decrease of 1.7%.

Property Summary & Business Plan

THE BOARDWALK • 2Q26

PURCHASE PRICE

\$48.0M

\$142,012 / unit • 338 units

EQUITY INVESTED (ITD)

\$14.3M

2Q26 EQUITY CONTRIBUTIONS

\$0

No capital called this quarter

CASH DISTRIBUTIONS (ITD)

\$0

No distributions issued to date

ORIGINAL BUSINESS PLAN

Five-year hold underwrote \$2.36M of capital across value-add and recurring programs. The washer/dryer program is currently paused pending submarket stabilization.

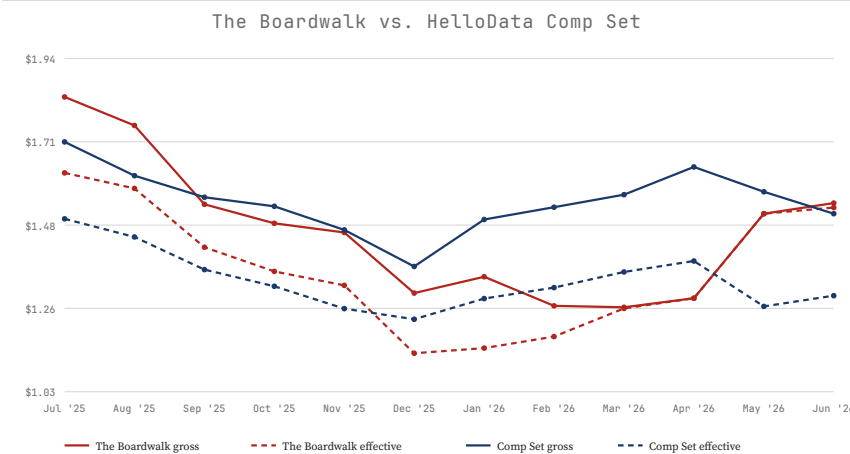
ORIGINAL UNDERWRITING BUDGET

Category	Original UW	Spent to date*	% spent
VALUE ADD PROJECTS			
Washer & Dryer Connections (181 units)	\$1,069,936	\$32,340	3%
Amenity Upkeep	\$75,000	\$0	0%
Contingency	\$114,494	\$0	0%
Total value add projects	\$1,259,430	\$32,340	3%
RECURRING CAPEX			
Interior Capex	\$547,750	\$560,209	102%
Water Heater Replacements	\$100,000	\$18,489	18%
HVAC Replacements	\$175,000	\$152,277	87%
Exterior Capex	\$275,000	\$148,630	54%
Total recurring capex	\$1,097,750	\$879,605	80%
Total underwritten capital	\$2,357,180	\$911,945	39%

*Spent to Date reflects the period 08/2025 - 06/2026

SUBMARKET RENT TRENDS

JULY 2025 - JUNE 2026



Boardwalk new-lease gross PSF fell from \$1.83 at acquisition (Jul 2025) to a \$1.30 trough in December, recovering to \$1.54 by June 2026, now at or above the HelloData comp set on both gross and effective rent as concessions were folded into rent.

Financing Overview

SENIOR LOAN

\$36.52M

Initial principal · Fixed 5.23% · IO through Aug 1, 2028 · matures Aug 1, 2030

LENDER
Fannie Mae (svcd. Newmark)

BORROWER
The Boardwalk Owner, LLC

EFFECTIVE DATE
Jul 30, 2025

MATURITY DATE
Aug 1, 2030

LOAN TERM
60 months

RATE
5.23%

IO PERIOD
36 mo to Aug 1, 2028

AMORTIZATION
30 yrs

IO PAYMENT (MONTHLY)
\$159,162

P&I PAYMENT (MONTHLY)
\$201,207

RECOURSE
Non-recourse with carve-outs

RESERVE BALANCE
\$240,122

STRUCTURE, PREPAYMENT & RESERVES

LOAN PHASES

IO period · Jul 30, 2025 to Aug 1, 2028 · 36 months **\$159,162 / mo**

P&I phase · Aug 1, 2028 to Aug 1, 2030 · 30-yr amortization **\$201,207 / mo** (+26% step-up)

PREPAYMENT

Standard yield maintenance, locked for 54 months

Yield maintenance through Jan 31, 2030 · open prepay last 6 mo

RESERVES & ESCROWS

Replacement reserve **\$8,591 / mo** (\$103.1K / yr)

Repairs escrow (one-time) **\$43,594**

Fixed-rate 5.23% financing with a 36-month interest-only period insulates the hold from rate volatility and preserves cash flow through stabilization. P&I begins September 2028, stepping debt service up about 26% from the current interest-only payment for the final two years before the August 2030 maturity. Prepayment is locked under standard yield maintenance through January 2030, with a six-month open window into maturity. Non-recourse with industry-standard carve-outs.

Financial & Capital Commentary

2Q26 TAKEAWAY

Revenue of \$1,450,138 finished \$153,093 below budget, or 9.5%, driven largely by gain to lease coming in 97.3% under plan. Operating expenses of \$814,032 were \$18,728 favourable, a 2.2% benefit, but that was not enough to offset the top line shortfall, leaving NOI of \$636,106 down \$134,365 or 17.4%. After debt service of \$482,791, net cash flow was \$153,314 versus a budget of \$287,680.

01 · REVENUE	-\$153,093 VS. BUDGET	02 · OPERATING EXPENSES	+\$18,728 VS. BUDGET	03 · NOI & CASH FLOW	-\$134,365 VS. BUDGET
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Second quarter revenue of \$1,450,138 finished \$153,093, or 9.5%, below the budget of \$1,603,231. Gross potential rent outperformed at \$1,346,580 against \$1,130,031, a favourable variance of \$216,549 or 19.2%, but gain to lease came in at only \$9,961 versus \$367,215 budgeted, a shortfall of \$357,254. Concessions of \$53,131 exceeded the \$15,000 budget by \$38,131. Vacancy was the one offset, at \$100,437 against \$109,996 budgeted, favourable by \$9,559 or 8.7%.

OUTLOOK

New-lease pricing is stabilizing as concessions normalize into rent. Gain-to-lease should rebuild through the second half as occupancy holds in the low 90s.

Operating expenses totalled \$814,032 for the quarter against a budget of \$832,760, a favourable variance of \$18,728 or 2.2%. Insurance was the largest favourable line at \$58,764 below budget, or 43.4%, followed by management fees at \$6,786 favourable. Utilities was the largest unfavourable line, running \$25,435 over budget at 12.8%, with general and administrative expense \$9,524 over and repairs and maintenance \$5,874 over. Property taxes came in exactly on budget at \$177,303.

OUTLOOK

The 2026-27 insurance policy renewed at \$306.0K, down from \$507.0K, a \$200K annual saving now flowing through results. Water and wastewater remain over budget and are being monitored.

NOI of \$636,106 finished \$134,365, or 17.4%, below the budgeted \$770,471, driven by revenue of \$1,450,138 against a \$1,603,231 budget, a shortfall of \$153,093 or 9.5%, partly offset by operating expenses of \$814,032 that came in \$18,728 or 2.2% under budget. After debt service of \$482,791, net cash flow was \$153,314 versus a budget of \$287,680, unfavourable by \$134,366 or 46.7%. Capital spend of \$241,077 was \$37,819 under the \$278,896 quarterly budget, with year to date spend of \$569,524 tracking \$46,484 below budget.

OUTLOOK

Full-year NOI is tracking 12-17% below budget. A faster rebuild in gain-to-lease and expense relief beyond insurance, mainly property taxes, could narrow the gap.

Financial Performance

THE BOARDWALK • 2Q26
APR-JUN 2026 VS. BUDGET & YTD

\$ in actuals	2Q26 actual	2Q26 budget	Var %	YTD actual	YTD budget	Var %
Revenue						
Gross Potential Rent	1,346,580	1,130,031	+19.2%	2,456,583	2,180,944	+12.6%
Loss/Gain to Lease	9,961	367,215	-97.3%	289,121	831,290	-65.2%
Concessions	(53,131)	(15,000)	-254.2%	(118,675)	(56,000)	-111.9%
Vacancy	(100,437)	(109,996)	+8.7%	(258,402)	(268,076)	+3.6%
Pet Rent	4,361	3,960	+10.1%	8,133	7,920	+2.7%
Net Rental Income	1,207,334	1,376,210	-12.3%	2,376,760	2,696,078	-11.8%
Utility Income	185,725	172,104	+7.9%	338,051	334,261	+1.1%
Other Income (net of bad debt)	57,079	54,917	+3.9%	111,908	107,486	+4.1%
Total Revenue	1,450,138	1,603,231	-9.5%	2,826,719	3,137,825	-9.9%
Operating expenses						
Payroll	175,470	170,812	-2.7%	362,334	337,231	-7.4%
General & Administrative	36,138	26,614	-35.8%	68,430	53,003	-29.1%
Marketing	33,935	32,603	-4.1%	66,826	65,246	-2.4%
Repairs & Maintenance	52,374	46,500	-12.6%	114,349	93,550	-22.2%
Utilities	224,867	199,432	-12.8%	362,767	395,564	+8.3%
Management Fees	37,302	44,088	+15.4%	77,251	86,290	+10.5%
Property Taxes	177,303	177,303	flat	382,543	354,606	-7.9%
Insurance	76,644	135,408	+43.4%	199,740	288,282	+30.7%
Total Operating Expenses	814,032	832,760	+2.2%	1,634,240	1,673,772	+2.4%
Net operating income						
NOI	636,106	770,471	-17.4%	1,192,479	1,464,053	-18.5%
Debt Service	482,791	482,791		960,277	960,276	
Net Cash Flow After Debt Service	153,314	287,680	(134,366)	232,202	503,777	(271,575)

Capital Projects

Line item	2Q26 actual	2Q26 budget	Var \$	YTD actual	YTD budget	Var \$	Annual budget
Plumbing & Water Heaters	80,253	45,970	(34,283)	157,754	123,472	(34,282)	180,472
HVAC Additions	35,067	39,250	+4,183	101,172	105,355	+4,183	183,655
Paint	25,230	15,000	(10,230)	48,693	38,463	(10,230)	68,463
Appliances & Equipment	23,033	17,334	(5,699)	51,390	45,059	(6,331)	70,859
Interior Renovation & Labor	22,638	7,795	(14,843)	84,747	52,038	(32,709)	58,038
Resurfacing - Tub	15,020	8,300	(6,720)	35,170	28,450	(6,720)	43,450
Flooring - Carpet & Vinyl	15,000	6,627	(8,373)	33,436	25,063	(8,373)	38,263
Paving & Flatwork	7,490	10,000	+2,510	7,490	10,000	+2,510	12,000
Blinds	4,441	4,380	(61)	13,026	12,964	(62)	21,964
Electrical & Lighting	4,293	1,194	(3,099)	9,890	6,789	(3,101)	8,889
Signage	3,450	4,000	+550	3,450	4,000	+550	4,000
Roof	2,885	0	(2,885)	2,885	0	(2,885)	1,500
Windows & Glass	2,277	0	(2,277)	6,408	4,131	(2,277)	4,131
Renovation Program - Plumbing	0	54,078	+54,078	0	75,086	+75,086	168,086
Structures	0	15,643	+15,643	0	15,643	+15,643	58,501
Powerwashing	0	14,000	+14,000	0	14,000	+14,000	14,000
Landscape Additions	0	9,000	+9,000	0	9,000	+9,000	39,000
Gutters & Downspouts	0	6,000	+6,000	0	6,000	+6,000	12,000
Irrigation	0	5,500	+5,500	0	5,500	+5,500	5,500
Pool Improvements	0	5,000	+5,000	0	5,000	+5,000	27,000
Dog Park	0	4,000	+4,000	0	4,000	+4,000	4,000
Renovation Program - Project Mgmt	0	2,325	+2,325	0	2,325	+2,325	6,975
Fire Control	0	2,000	+2,000	(5,034)	2,000	+7,034	26,000
Office Furniture & Equipment	0	1,500	+1,500	4,621	6,122	+1,501	6,122
Golf Carts	0	0	0	13,307	13,308	+1	13,308
Project Management	0	0	0	1,120	2,240	+1,120	2,240
Perimeter Fencing	0	0	0	0	0	0	21,000
Fitness Center Equipment	0	0	0	0	0	0	7,000
Total capital spend	241,077	278,896	+37,819	569,524	616,008	+46,484	1,106,416

Submarket Comparison

SUBMARKET VACANCY

16.3%

CoStar Western Lee County · prior quarter 14.7%

YOY ASKING RENT

-5.4%

\$1,555/unit avg market asking · prior quarter -8.4%

UNDER CONSTRUCTION

0 units

0 units under construction (0.0% of inventory) · recent deliveries: Montage at Midtown (321 units, Jun 2026); Sinclair at Palm Pointe (265 units, Nov 2025); Sunset Lakes Townhomes (114 units, Aug 2025); Inspiration at South Pointe (296 units, Sep 2024)

Property name	Units	Vintage	Leased %	Asking rent	Eff. rent (NER)	Concession
The Boardwalk SUBJECT	338	1973	90.5%	\$1,303	\$1,243	\$59/mo (5%)
The Ashlar	428	1998	91.6%	\$1,719	\$1,565	\$153/mo (9%)
Brantley Pines Apartments	296	1989	84.1%	\$1,667	\$1,412	\$255/mo (15%)
The Park at Murano	230	1986	92.9%	\$1,492	\$1,389	\$102/mo (7%)
The Laurels	240	1972	87.5%	\$1,481	\$1,336	\$146/mo (10%)
The Park at Veneto	282	1987	92.5%	\$1,479	\$1,344	\$135/mo (9%)
Bernwood Trace	340	2000	90.3%	\$1,377	\$1,353	\$24/mo (2%)
The Park at Positano	288	1986	84.4%	\$1,335	\$1,122	\$213/mo (16%)
Fountains at Forestwood	397	1985	77.4%	\$1,307	\$1,188	\$119/mo (9%)
Aria Landings	320	1999	87.4%	\$1,214	\$1,214	-
Westchase Apartments	352	1999	94.6%	\$1,070	\$1,070	-
Comp set average	317	1990	88.1%	\$1,412	\$1,301	\$112

OCCUPANCY

The Boardwalk ended 2Q26 at 90.5% occupied, 2.4 points above the comp set average leased rate of 88.1%. Occupancy slipped 118 basis points from 91.7% at March 31.

EFFECTIVE RENT

The Boardwalk asks \$1,303 against the comp set average of \$1,412, a \$109 discount. Effective rent of \$1,243 trails the \$1,301 average by \$58, a narrower gap given concessions of 4.6% versus 7.9%.

CONCESSIONS

The Boardwalk concedes \$59 per unit, or 4.6% of asking rent, versus the comp set average of \$112 and 7.9%. The subject is discounting less than most competitors in the set.

Comp set average across 10 comparables: leased % unit-weighted; asking rent unit-weighted; effective rent unit-weighted. Subject leased % is physical occupancy per the Yardi rent roll.

Occupancy & Leasing

MAR 31, 2026

91.71%

310 / 338 occupied

JUN 30, 2026

90.53%

306 / 338 occupied • 14 future / applicants

QUARTER CHANGE

-118 bps

Physical occupancy fell 118 basis points over the quarter, from 91.7% to 90.5%, or 306 of 338 units. The 14 future applicants imply occupancy recovering to 94.7%.

NEW LEASES • 2Q26 • BY FLOOR PLAN

OVERALL -17.6%

The 38 new leases signed in 2Q26 traded out at negative \$252, or negative 17.6%. BWK.B1 saw the largest decline at negative 33.9% on one lease, followed by BWK.B2 at negative 26.5%. BWK.C1 was the only floor plan with a gain, up 8.3% on one lease.

Floor plan	Count	Avg prior	Avg current	\$ LTO	% LTO
BWK.S2 • 500 sf	3	\$1,157	\$947	-\$210	-18.18%
BWK.S1 • 550 sf	3	\$1,195	\$1,054	-\$141	-11.80%
BWK.A1 • 657 sf	5	\$1,206	\$1,053	-\$153	-12.67%
BWK.A2 • 700 sf	5	\$1,389	\$1,113	-\$276	-19.89%
BWK.B0 • 814 sf	5	\$1,217	\$1,084	-\$133	-10.93%
BWK.B1 • 875 sf	1	\$1,627	\$1,075	-\$552	-33.93%
BWK.B2 • 930 sf	5	\$1,551	\$1,140	-\$411	-26.48%
BWK.B3 • 980 sf	2	\$1,338	\$1,175	-\$163	-12.15%
BWK.C1 • 1,028 sf	1	\$1,535	\$1,662	+\$127	+8.27%
BWK.C2 • 1,130 sf	8	\$1,836	\$1,471	-\$364	-19.84%
New Leases total	38	\$1,431	\$1,179	-\$252	-17.62%

RENEWALS • 2Q26 • BY FLOOR PLAN

OVERALL +0.7%

Renewals traded out positive across all nine floor plans in 2Q26. The 25 renewals averaged \$1,463 prior and \$1,473 new, a gain of \$11, or 0.7%. BWK.S1 led at \$19 (1.5%), while BWK.B0 lagged at \$2 (0.1%).

Floor plan	Count	Avg prior	Avg current	\$ LTO	% LTO
BWK.S2 • 500 sf	3	\$1,138	\$1,152	+\$13	+1.17%
BWK.S1 • 550 sf	4	\$1,249	\$1,268	+\$19	+1.50%
BWK.A1 • 657 sf	4	\$1,416	\$1,425	+\$9	+0.62%
BWK.A2 • 700 sf	2	\$1,410	\$1,413	+\$3	+0.18%
BWK.B0 • 814 sf	5	\$1,572	\$1,574	+\$2	+0.14%
BWK.B1 • 875 sf	2	\$1,619	\$1,634	+\$15	+0.93%
BWK.B2 • 930 sf	2	\$1,547	\$1,565	+\$18	+1.13%
BWK.C1 • 1,028 sf	1	\$1,810	\$1,830	+\$20	+1.10%
BWK.C2 • 1,130 sf	2	\$1,835	\$1,842	+\$8	+0.41%
Renewals total	25	\$1,463	\$1,473	+\$11	+0.73%

LTO REFLECTS LEASES OF ALL TERMS WITH A RENEWAL COMMENCEMENT OR NEW LEASE START DATE WITHIN 2Q26 (2026-04-01 TO 2026-06-30). SOURCE: YARDI LEASE TRADE-OUT REPORT.

Status Update & 3Q26 Goals

STATUS UPDATE

OCCUPANCY TRAJECTORY & RENEWAL RETENTION

Occupancy held in the low 90s as concessions stayed folded into rent.

Physical occupancy was 91.71% at March 31, easing to 90.53% at June 30 (306 of 338 occupied) as the winter lease-up peak normalized into summer; 14 future and applicant leases were in process at quarter-end. Renewals held positive (+0.7% blended) while new leases reset toward market (-17.6%). Renewal retention and turn cadence remain priority watch items.

LENDER-REQUIRED REPAIRS

Seven items completed; extension approved for one outstanding.

The lender's required repair program is substantially complete, with the borrower certification submitted in the first quarter. Seven of eight items are finished at a cost of about \$12.5K, spanning life-safety and code compliance, minor sitework and unit-level mechanical work. The remaining item, an accessibility threshold and ramp modification, has an approved completion date of 09/30/2026.

2Q26 collections recovered: \$10,526 · bad debt write-offs: \$66,075

3Q26 GOALS / INITIATIVES

OCCUPANCY, LEASING & REVENUE

Drive occupancy to 95% and rebuild gain-to-lease.

Rebuild occupancy from 90.5% toward 94-95% through the leasing season. Push new-lease trade-outs back toward flat and hold renewals at +1-3% to recapture loss-to-lease as concessions normalize into rent.

BAD DEBT & COLLECTIONS

Resolve the legacy delinquency book.

Complete the eviction process on remaining served units and close out the legacy AR balance. The collection agency recovered \$10,526 from written-off accounts in 2Q26; write-offs ran above budget this quarter.

EXPENSE DISCIPLINE

Hold opex favorability through the second half.

Preserve the \$58.8K insurance favorability and address the water and wastewater over-run (+\$27K vs. budget).